IN THE NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI BENCH- V

CA (CAA) 54 (ND) of 2021

IN THE MATTER OF:

Sections 230-232 and 66 of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

AND

IN THE MATTER OF SCHEME OF AMALGAMATION

AMONGST

ASTHLUXMI MERCANTILE PRIVATE LIMITED
Room 206B, 6, Barbourne Road,
Kolkata West Bengal-700001

....Applicant No. 1/Transferor Company

WITH

GREEN WOODCRAFTS PRIVATE LIMITED
K-117, II Floor, Kirti Nagar, New Delhi-110015

....Applicant No. 2/Transferee Company

ORDER DELIVERED ON: 07.06.2022

CORAM:

MR. ABNI RANJAN KUMAR SINHA, MEMBER (JUDICIAL)

MR. AVINASH K. SRIVASTAVA, MEMBER (TECHNICAL)

For Petitioner(s): CS Suraj Sharma

ORDER

PER: MR. ABNI RANJAN KUMAR SINHA, MEMBER (Judicial)

1. This is an application filled by the Applicant Companies under Sections 230 to 232 of the Companies Act, 2013 (for brevity "The Act") read with Companies (Compromises, Arrangements and Amalgamation) Rule, 2016 (for brevity "The Rules") in relation to the Scheme of Amalgamation (for brevity "The Scheme") proposed between the transferor company and the transferee company. In terms of Sections 230 and 232 of the Act following prayers vide COMP.APPL/562(ND)2021 have been made for orders: -

a) *The dispensation of holding of meeting of Equity Shareholders of the Transferee Company for the purpose of considering the Scheme of Amalgamation.*

b) *The dispensation of holding of meetings of the Secured Creditors of the Transferee Company for the purpose of considering the Scheme of Amalgamation.*

c) *The dispensation of holding of meeting of Un-Secured Creditors of the Transferee Company for the purpose of considering the Scheme of Amalgamation.*

d) *Publication of the Citation for the meetings of the Equity Shareholders, Secured Creditors and Un-Secured Creditors of Transferee Company may be dispensed with.*

e) *Transferee Company may be permitted to file the Second Motion Application for sanctioning the Scheme of Amalgamation within 7 days of receiving Certified True Copy of First Motion Order.*

f) *Any other order or directions, as may be deemed fit in the facts and circumstances of the case, may also be granted; and*

g) *Allow the Company Application CA (CAA) No. 54/230/232/ND/2021,*

h) *Exempt the Transferee Applicant Company from filling Original/ Certified/ Legible Copies of the Annexures to the Application/ Petition and allow filling of photocopies and taking them on record as it is and exempt compliance with Rule 20 to 24 of the National Company Law Tribunal Rules, 2016 as may be applicable.*

2. That an Affidavit in support of the application sworn for and on behalf of both the Applicant Companies has been filed by Ms. Priti Khetawat and Mr. Vikash Kumar Khetawat being the authorized signatories.

3. That it is represented that the Scheme does not contemplate any corporate debt restructuring exercise as contemplated under Section 230(2) of the Act. It is further represented that the application filed by the applicant companies is maintainable in view of Rule 3(2) of the Rules. It is also represented that the registered office of the Transferee Company is situated within the territorial jurisdiction of this Tribunal and falls within the domain of Registrar of Companies, NCT, New Delhi. In respect of Transferor Company, it is represented that the registered office is situated in Kolkata. That the Transferor Company had filed an application under section 230 to 232 of the Companies Act, 2013 for seeking dispensation of the meetings of Equity Shareholders, Secured Creditors and Un-Secured Creditors of the Transferor Company before the NCLT, Kolkata vide Company Application No. C.A. No. (CAA) 113/KB/2021 which was allowed vide order dated 08.11.2021.

4. That it is submitted that the proposed amalgamation is sought to be made under the provisions of Section 230 to 232 of the Companies Act, 2013 and the same if sanctioned by this Tribunal the appointed date as provided in the Scheme shall be **01.04.2020**.

5. That the Transferor Company- ASTHLUXMI MERCANTILE PRIVATE LIMITED was incorporated on 24.07.2008, in the state of Kolkata under the

provisions of Companies Act, 1956. The authorised share capital of the Company is Rs 25,00,000/- only divided into 2,50,000/- equity shares of Rs. 10 each . The issued, subscribed and paid-up share capital of the Company is Rs. 22,00,000/- divided into 2,20,000 equity shares of Rs. 10/- each.

6. That the Transferee Company- GREEN WOODCRAFTS PRIVATE LIMITED was incorporated on 02.11.1994 in the state of Delhi under the provisions of Companies Act, 1956. The authorised share capital of the Company is Rs. 3,00,00,000 divided into 30,00,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Company is Rs. 1,96,33,710 is divided into 19,63,371 equity shares of Rs. 10/- each.

7. That the Board of Directors of both the Applicant Companies vide meetings held on 10.03.2021 have unanimously approved the proposed Scheme of Amalgamation. Copies of such resolutions passed thereat have been placed on record.

8. That in relation to the Transferor Company, it has been represented that the company has three Equity Shareholders and consent affidavits from all the shareholders have been obtained constituting 100% in value and 100% in number. It is further represented that the Transferor Company has NIL Secured Creditor and Unsecured Creditors.

9. That in relation to the Transferee Company, it has been represented that the company has 18 Equity Shareholders and consent affidavits from all the shareholders have been placed on record constituting 100% in value and 100% in number. It is further represented that the Transferee Company has 3 Secured Creditors and 53 Unsecured Creditors out of which the consent affidavits of all the Secured Creditors and 18 Unsecured Creditors constituting 90% of the total value have been placed on record. In relation to the shareholders, secured and

unsecured creditors, the Transferee Company seeks dispensation from convening and holding of their respective meetings.

10. That the Applicant Companies have filed the Audited Financial Statements for the financial year ended 31st March, 2020.

11. That the Applicant Companies have filed the Affidavit dt. 26.03.2021 u/s 230(2)(a) of the Act that no inspection, inquiry or investigation is pending against any of the applicant companies.

12. That the Certificate of respective statutory auditors of the Applicant Companies have been placed on record confirming that the accounting treatment in the scheme is in conformity with Section 133 of the Companies Act, 2013.

13. That the Valuation Report dt. 10.03.2021 has also been placed on record.

14. We have heard the ld. Counsel for the petitioners and perused the application and the enclosed documents filed along with the Scheme of Amalgamation contemplated between the Companies.

15. On perusal of the application, we noticed that ~~the~~ in relation to the Transferee Company i.e. Green Woodcrafts Private Limited, it has been represented that there are 53 Unsecured Creditors out of which the consent affidavits of 18 Unsecured Creditors have been placed on record. However, it came to our notice that, only 13 consent certificates of the Unsecured Creditors are annexed with the application. Therefore, a direction was given to the Applicant to file the remaining certificates vide clarification order dated 22.12.2021.

16. That, in view of the above order, a Compliance Affidavit dated 24.03.2022 was filed, thereby enclosing the copy of remaining consent affidavits of the Unsecured Creditors of the Transferee Company.

17. In sequel to the above, in our considered view, the Tribunal, in view of the settled law, is empowered to dispense with the meeting of shareholders if they have given their consent. Further, in view of Section 230(9) of the Companies Act, 2013, the Tribunal is empowered to dispense with calling of a meeting of creditor or class of creditors where such creditors or class of creditors, having at least ninety per cent value, agree and confirm, by way of affidavit, to the scheme of compromise or arrangement. Accordingly, the following directions are given:-

In relation to the Transferee Company:

i. **With respect to Shareholders:**
Since all the shareholders have already placed their consent-affidavits on record, therefore, the necessity of convening and holding a meeting is dispensed with.

ii. **With respect to Secured Creditors:**
Since all the secured creditors have already placed their consent-affidavits on record, therefore, the necessity of convening and holding a meeting is dispensed with.

iii. **With respect to Unsecured Creditors:**
Since, 21 out of 53 Unsecured Creditors constituting 91.41% of the total value have already placed their consent-affidavits on record, therefore, the necessity of convening and holding a meeting is dispensed with.

18. Accordingly, CA (CAA) 54 (ND) of 2021 is disposed of.

-Sd-

7/6/2022

(AVINASH K. SRIVASTAVA)

Member (T)

-Sd-

6/7/2022

(ABNI RANJAN KUMAR SINHA)

Member (J)